

RIDING THE INDEX

AS INVESTORS GRAPPLE WITH A VOLATILE LANDSCAPE, PASSIVE FUNDS ARE PROVING INDISPENSABLE TO GET MARKET RETURNS FROM A DIVERSIFIED SET OF STOCKS AT A VERY LOW COST

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160 |

DON'T LOOK FOR the needle in the haystack. Just buy the haystack.” John C. Bogle, the founder of Vanguard and inventor of the index fund as we know it, famously said once.

What he meant is simple. Instead of trying to pick individual winners and looking to beat the market, own the entire market through index funds.

Mumbai-based Parth Parikh, 37, who works in the fintech and investment space, seems to have heeded that advice. He keeps a core part of his portfolio in broad market exchange-traded funds (ETFs) like S&P 500 ETF, Nasdaq 100 ETF, and even some exposure to Vanguard Total World Stock ETF. “These give me diversification and keep me aligned with global market growth,” he says.

Parikh's is not an isolated view. Index funds and ETFs have assets of over ₹12 lakh crore in India and have grown to account for 17% of the total mutual fund industry.

Basics First

1 Stay Calm Amid Swings

Volatile markets make emotional decisions costly; passive strategies help you stay on track

2 Cut Costs, Keep Returns

Low-fee index funds and ETFs maximise gains even when expenses rise

3 Diversify Without Stress

Spread risk across sectors and stocks without constant monitoring

4 Long-Term Growth

Consistent, hands-off investing benefits from compounding over time

5 Leverage Technology

Robo-advisors and digital platforms make investing simple, fast, and automated

In fact, though passive products have been in India for nearly 25 years, they have seen exponential growth in the past five years. In 2020, index funds had AUM of ₹8,000 crore. Today, it is ₹1.5 lakh crore. ETFs have grown tenfold in the same period. It's clear that retail and institutional investors alike have jumped on the passive bandwagon.

And for good reason. As India's economy accelerates despite global headwinds, passive investing continues to captivate retail investors, who are weary of market turbulence and favour set-it-forget-it approaches. Besides, with the proliferation of digital platforms, investors are exploring passive options like index funds and ETFs that reduce the need for constant portfolio monitoring. In fact, in September the addition of passive accounts, including index funds, ETFs and funds of funds, outpaced that of active equity schemes for the first time in India.